

that Mr. Buffett's structure was very fair relative to the rest of the industry. Virtually all no-load mutual funds charge between 1 percent and 2 percent of assets annually as their fees, regardless of whether they make or lose money. Most hedge funds charge a 1 percent to 2 percent management fee *and* 20 percent of the profits. If a 2 and 20 (2 percent fee; 20 percent of profits) is up 10 percent before fees, on an after-fee basis investors would receive just 6.4 percent.

Mutual funds as a group are so large that in aggregate they look like the market. Thus, if there were no trading costs and fees associated with mutual funds, as a group, they'd deliver returns that would match the broad equity market indexes. In this scenario, 50 percent of assets would lag the index and 50 percent would outperform, but we are not in fantasyland. There are very real frictional costs to investing in an actively managed mutual fund. When you factor in these fees of 1 percent to 2 percent a year (plus trading commissions), it is all but certain that 80 percent to 90 percent of mutual funds are likely to lag the broad indexes over the long-term. Said another way, just 10 percent to 20 percent of funds beat the broad indexes over the long haul. Because of these fundamental facts, investors are better off investing in an index fund versus most of the actively managed mutual fund universe.

My take on Mr. Buffett's fee structure was that it was very fair. If stocks on average deliver 10 percent a year, the typical mutual fund investor would net about 8.5 percent, the typical hedge fund investor would net about 6.8 percent (assuming a 1.5 percent and 20 percent structure), and an index fund investor would net around 9.7 percent. In this scenario, an investor in the Buffett Partnerships would net 9 percent—higher than virtually all active management options.

If markets were up just 5 percent in a given year, the average mutual fund investor would net 3.5 percent, the hedge fund investor would net just 2.8 percent, the index fund investor would net 4.7 percent, and Buffett Partnership investors would net the full 5 percent—higher than all options.

Investors in the Buffett Partnerships pay a below-average fee if returns are below 10 percent annualized. They pay an above-average fee (versus mutual funds) if returns are over 12 percent annualized. Mr. Buffett only